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Cross-Border Tax Structuring, Five Questions to Ask Before You Sign

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Most cross-border structuring problems we get called in to fix were entirely avoidable, if someone had asked a handful of questions before the entity chart was finalized rather than after.

Where is the entity actually managed and controlled?

Tax residency often turns on where decisions are genuinely made, not where a certificate of incorporation says. A structure that looks clean on paper can unravel if board meetings and real decision-making happen somewhere else entirely.

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Withholding tax exposure needs to be modeled, not assumed

Cross-border payments, royalties, interest, dividends, each carry their own withholding exposure, and it changes based on the specific treaty in play. Assuming a favorable rate without confirming treaty eligibility is a common and expensive mistake.

Treaty benefits are not automatic

Many jurisdictions now require substance, real employees, real operations, before granting treaty benefits. A holding company with no staff and a mailing address is exactly the profile that gets challenged first.

The other two questions worth asking before you sign: how will this structure look if the relevant tax authority audits it in five years, and what does unwinding it cost if the business changes direction? Both are cheaper to answer now than later.

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